AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII EXAMINATION

APRIL/ MAY 2017

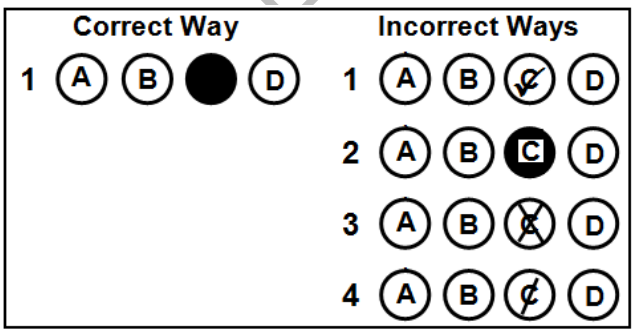
Principles of Accounting Paper I

Time: 40 minutes Marks: 30

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 30 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a scientific calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. The following information relates to Mr Noor, a sole trader, for the year ended December 31, 2015.

Particulars	Amount (Rs)
Total assets on January 01, 2015	25,000
Total liabilities on January 01, 2015	23,000
Net profit for the year ended December 31, 2015	10,000
Investment during the year	50,000
Drawings during the year	7,000

The capital of Mr Noor on December 31, 2015 will be

A. Rs 51,000
B. Rs 53,000
C. Rs 55,000
D. Rs 56,000

2. Mr Aliyan is running a stationary shop. He is not maintaining proper books of accounts.

The accounting concept that is being ignored by Mr Aliyan is

A. matching concept.
B. dual entry concept.
C. business entity concept.
D. money measurement concept.

3. Mr Suleman has provided the following account details for the month of May 2013.

Particulars	Amount (Rs)
Trade payables (accounts payable) on May 01, 2013	42,000
Trade payables (accounts payable) on May 31, 2013	37,500
Purchases return to supplier	1,500
Discount received from suppliers	2,000
Cash paid to trade payable (accounts payable)	28,000
Cash purchases	15,000

The total amount of net purchases of Mr Suleman will be

A. Rs 15,000
B. Rs 27,000
C. Rs 36,000
D. Rs 42,000

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4. An inexperienced accountant of Kiran Traders made the following capital account.

Capital Account					
01.01.2016	Balance b/d	130,000	30.06.2016	Investment	50,000
30.09.2016	Drawings	30,000	31.12.2016	Balance c/d	230,000
		160,000			280,000

The CORRECT amount of net profit of Kiran Traders will be

A. Rs 20,000
B. Rs 80,000
C. Rs 120,000
D. Rs 150,000

5. A company considers shareholders as

A. owners.
B. suppliers.
C. customers.
D. loan providers.

6. Javaid Limited purchased a building by allotting 15,000 ordinary share of Rs 10 each. At the time of purchase, the market value of the share was Rs 13.

The value of the building in the books of Javaid Limited will be

A. Rs 15,000
B. Rs 45,000
C. Rs 150,000
D. Rs 195,000

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7. The following details have been taken from the books of Raheel Limited on December 31, 2016.

Particulars	Amount (Rs)
Retained earnings as on December 31, 2015	125,000
Profit after tax (net income) for 2016	75,000
Appropriation for reserves	63,000
Retained earnings as on December 31, 2016	60,000
Dividend payable	?

The amount of dividend payable to the shareholders from the above information will be

A. Rs 12,000
B. Rs 77,000
C. Rs 198,000
D. Rs 323,000

8. The total amount of bad debts charged by Majid & Co. in the Income statement for the year ended December 31, 2016 was Rs 21,250.

The closing entry in the books of Majid & Co. for bad debts will be

	Particulars	P.R.	Debit	Credit
A	Bad debts Allowance (provision) for bad debts		21,250	 21,250
B	Allowance (provision) for bad debts Bad debts		21,250	 21,250
C	Income summary Bad debts		21,250	 21,250
D	Bad debts Income summary		21,250	 21,250

9. Which of the following is an example of specific reserves?

A. Shares premium
B. General reserves
C. Retained earnings
D. Ordinary dividends

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10. Directors of Munira Limited decided to appropriate profit in the following manner:

a. Transferred net profit of Rs 230,000 to retained earnings account.
b. Paid Rs 70,000 as cash dividend.

The account heads of general journal affected by the payment of cash dividend will be

	Account to be Debited	Account to be Credited
A	Expense and revenue summary	Dividend payable
B	Dividend payable	Expense and revenue summary
C	Cash at bank	Dividend payable
D	Dividend payable	Cash at bank

11. All of the following returns on investments are capital reserves EXCEPT

A. dividend equalisation fund.
B. profit prior to incorporation.
C. gain on the sale of fixed assets.
D. premium on the issue of debentures.

12. The details of retained earnings account of Rehana Ltd. is as under:

Particulars	Amount (Rs)
Net profit for the year ended (December 31, 2013)	580,000
Retained earnings (January 01, 2013)	380,000
Dividend declared and paid	70,000
Created reserve for building	45,000

The amount of retained earnings appearing on December 31, 2013 will be

A. Rs 380,000
B. Rs 580,000
C. Rs 845,000
D. Rs 960,000

13. A motorbike costing Rs 20,000 is purchased on July 1, 2012. It is the policy of the business to depreciate this class of asset by 20% per annum using diminishing balance method. The business accounting year of the company ends on December 31, each year.

What will be the accumulated depreciation on December 31, 2014?

A. Rs 8,480
B. Rs 9,760
C. Rs 10,240
D. Rs 11,520

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14. A book keeper treated revenue expenditure as capital expenditure by mistake.

What is the effect of this error on the profit of the business?

A. Net profit is overstated.
B. Net profit is understated.
C. Gross profit is overstated.
D. Gross profit is understated.

15. Mr Farman, a sole trader, purchased a motor vehicle and made the following payments.

Particulars	Amount (Rs)
List price of the motor vehicle	400,000
Capital expenditures on motor vehicle	22,000
Revenue expenditures on motor vehicle	18,000

Mr Farman also received a trade discount of 8% on the list price of motor vehicle.

The amount with which the motor vehicle will be recorded in the Statement of the financial position (Balance sheet) will be

A. Rs 368,000
B. Rs 372,000
C. Rs 386,000
D. Rs 390,000

16. Mr Tabassum is the owner of a restaurant; he owns two motor bikes in order to facilitate delivery for online orders. Business charges depreciation on these bikes at 20% by the diminishing balance method.

The cost of each bike was Rs 40,000 and the accumulated depreciation on each bike was Rs 12,000 as on December 31, 2015.

The amount of net non-current assets (fixed assets) that will appear in the Statement of financial position (Balance sheet) on December 31, 2016 will be

A. Rs 44,800
B. Rs 56,000
C. Rs 68,800
D. Rs 80,000

17. At the time of liquidation, Mr Ahmad's capital account balance was on debit due to a heavy loss. If all the other partners are solvent, the deficiency of Mr Ahmad's capital will be compensated by

A. the court.
B. Mr Ahmad himself.
C. Mr Ahmad's relatives.
D. the remaining partners.

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18. Goodwill is a benefit that is recorded in the Statement of the financial position (Balance sheet) under

    A. liquid asset.
    B. current asset.
    C. tangible asset.
    D. intangible asset.

19. As per fixed capital method of partnership business, interest on capital given to partners is

    A. debited to partner's current account.
    B. debited to partner's capital account.
    C. credited to partner's current account.
    D. credited to partner's capital account.

20. Mr Amar and Mr Akber were partners in a business with capital of Rs 100,000 and Rs 200,000 respectively. Mr Anthony was admitted as a new partner for 1/4th interest. Mr Anthony invested sufficient cash for his share.

    The new capital (total capital) of the firm after the admission of Mr Anthony will be

    A. Rs 100,000
    B. Rs 225,000
    C. Rs 300,000
    D. Rs 400,000

21. According to Companies Ordinance 1984 of Pakistan, a partnership business needs to be converted to a company if the number of partners are more than

    A. 3
    B. 7
    C. 10
    D. 20

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22. The information related to the financial performance of Alpha and Beta Traders is as under.

Particulars	Amount (Rs)
Sales	145,000
Purchases	83,000
Opening inventory	33,000
Ending inventory	17,000
Purchase returns	6,000
Sales return	8,000
Operating expenses	17,000

The amount of gross profit earned by the business from the given information will be

A. Rs 27,000
B. Rs 44,000
C. Rs 61,000
D. Rs 93,000

23. The opening balance in the current account of Mr Saleem was Rs 12,000. He withdrew cash of Rs 3,000 for personal use from the firm and his share of profit for the current year was Rs 25,000.

The closing balance of Mr Saleem's current account will be

A. Rs 16,000
B. Rs 34,000
C. Rs 37,000
D. Rs 40,000

24. In case of a club, the subscription income account is treated as

A. real account.
B. capital account.
C. nominal account.
D. personal account.

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25. The receipt and payment account of Starland Club for the year ended September 30, 2015 is as follows.

Receipt and Payment Account

01.09.15	Balance b/d	2,500	05.09.15	Machine purchased	25,000
15.09.15	Subscription - 2014	1,500	10.09.15	Salaries to manager	3,000
20.09.15	Subscription - 2015	22,000	25.09.15	Printing and stationery	1,000
20.09.15	Donation	7,000	25.09.15	Fire insurance	2,500
			30.09.15	Balance c/d	1,500
		33,000			33,000

The total amount transferred to 'Income and Expenditure Account' as expenditure will be

A. Rs 4,000
B. Rs 6,500
C. Rs 28,000
D. Rs 31,500

26. The key feature of preparing receipt and payment account for NPO (Non-Profit Organisation) is to show

A. balance of surplus or deficit.
B. amount of accumulated fund.
C. summary of all the credit transactions.
D. both capital and revenue transactions in cash.

27. Income and expenditure account reflects

A. capital expenditure only.
B. revenue expenditure only.
C. both revenue and capital expenditures.
D. neither revenue nor capital expenditure.

28. In a cash flow statement, decrease in the value of inventory will be

A. added under investing activity.
B. added under operating activity.
C. deducted under investing activity.
D. deducted under operating activity.

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29. Which of the following objectives of the financial statements is CORRECTLY represented in the given table?

	Financial Statements	Objectives
A	Income statement	It shows the financial status or worth of a business.
B	Statement of financial position (Balance sheet)	It depicts the financial performance of a business in a year.
C	Cash flow statement	It provides information about receipts and payments and net change in cash.
D	Statement of changes in equity	It shows the working and principles followed in order to prepare other necessary financial statements.

30. The following are the records extracted from the books of Al-Mehran Dairy Farm.

Particulars	Amount (Rs)
Net income	200,000
Depreciation expense	30,000
Gain on sale of dairy equipment	5,000
Proceed from the sale of dairy equipment	8,000
Decrease in account receivable	10,000

What will be the amount of cash generated by Al-Mehran Dairy Farm from operating activities?

A. Rs 225,000
B. Rs 235,000
C. Rs 240,000
D. Rs 253,000

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